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Study Notes

Labour Code on Social Security Part- 3

CHAPTER VIII SOCIAL SECURITY AND CESS IN RESPECT OF BUILDING AND OTHER CONSTRUCTION WORKERS

- **What is Cess?**

A cess to be levied and collected as per S. 100 from the employer for the purposes of social security and welfare of building workers at such rate not exceeding two per cent. but not less than one per cent of the cost of construction incurred by an employer.

- **S. 104. Penalty for non-payment of cess within the specified time**

- ✓ If any amount of cess payable by any employer under section 103 is not paid
- ✓ within the date specified in the order of assessment made under sub-section (2) of that section,
- ✓ it shall be deemed to be in arrears and the authority prescribed by the Central Government in this behalf may, after making such inquiry as it deems fit, impose on such employer a penalty not exceeding the amount of cess:
- ✓ Provided that, before imposing any such penalty, such employer shall be given a reasonable opportunity of being heard and if after such hearing the said authority is satisfied that the default was for any good and sufficient reason, no penalty shall be imposed under this section.

- **S. 106. Registration of building workers as beneficiaries.**

- ✓ Every building worker who has completed eighteen years of age, but has not
- ✓ completed sixty years of age, and who has been engaged in any building or other construction work for not less than ninety days during the preceding twelve months shall be registered by the officer authorised by the Building Workers' Welfare Board as a beneficiary under this Chapter in such manner as may be prescribed by the Central Government.

- **S. 108. Building and Other Construction Workers' Welfare Fund and its application.**

(1) There shall be constituted by a Building Workers' Welfare Board a fund to be called the Building and Other Construction Workers' Welfare Fund and there shall be credited thereto—

- (a) the amount of any cess levied under sub-section (1) of section 100;
- (b) any grants and loans made to the Building Workers' Welfare Board by the Central Government; and
- (c) all sums received by the Building Workers' Welfare Board from such other sources as may be decided by the Central Government.

(2) The Building and Other Construction Workers' Welfare Fund shall be applied for meeting—

- (a) expenses of the Building Workers' Welfare Board in the discharge of its functions under sub-section (6) of section 7;
- (b) salaries, allowances and other remuneration of the members, officers and other employees of the Building Workers' Welfare Board; and
- (c) expenses on objects and for purposes authorised by this Code.

(3) No Building Workers' Welfare Board shall, in any financial year, incur expenses towards salaries, allowances and other remuneration to its members, officers and other employees and for meeting the other administrative expenses exceeding five per cent. of its total expenses during that financial year.

CHAPTER IX SOCIAL SECURITY FOR ORGANISED WORKERS, GIGG WORKERS AND PLATFORM WORKERS

- **s. 109. Framing of schemes for unorganized workers.**

(1) The Central Government shall frame and notify, from time to time, suitable welfare schemes for unorganised workers on matters relating to—

- (i) life and disability cover;
- (ii) health and maternity benefits;
- (iii) old age protection;
- (iv) education; and
- (v) any other benefit as may be determined by the Central Government.

(2) The State Government shall frame and notify, from time to time, suitable welfare schemes for unorganized workers, including schemes relating to—

- (i) provident fund;
- (ii) employment injury benefit;
- (iii) housing;
- (iv) educational schemes for children;
- (v) skill upgradation of workers;
- (vi) funeral assistance; and
- (vii) old age homes.

(3) Any scheme notified by the Central Government under sub-section (1), may be—

- (i) wholly funded by the Central Government; or
- (ii) partly funded by the Central Government and partly funded by the State Government; or
- (iii) partly funded by the Central Government, partly funded by the State Government and partly funded through contributions collected from the beneficiaries of the scheme or the employers as may be specified in the scheme by the Central Government; or
- (iv) funded from any source including corporate social responsibility fund within the meaning of the Companies Act, 2013 or any other such source as may be specified in the scheme.

(4) Every scheme notified by the Central Government under sub-section (1) shall provide for such matters that are necessary for the efficient implementation of the scheme including the matters relating to all or any of the following, namely:—

- (i) scope of the scheme;
- (ii) authority to implement the scheme;
- (iii) beneficiaries of the scheme;
- (iv) resources of the scheme;
- (v) agency or agencies that will implement the scheme;
- (vi) redressal of grievances; and
- (vii) any other relevant matter,

and a special purpose vehicle may also be constituted by the Central Government for the purpose of implementation of any such scheme.

- **S. 114. Schemes for gig workers and platform workers.**

(1) The Central Government may frame and notify, from time to time, suitable social security schemes for gig workers and platform workers on matters relating to—

- (a) life and disability cover;
- (b) accident insurance;
- (c) health and maternity benefits;
- (d) old age protection;
- (e) crèche; and
- (f) any other benefit as may be determined by the Central Government.

(2) Every scheme framed and notified under sub-section (1) may provide for—

- (a) the manner of administration of the scheme;
- (b) the agency or agencies for implementing the scheme;
- (c) the role of aggregators in the scheme;
- (d) the sources of funding of the scheme; and
- (e) any other matter as the Central Government may consider necessary for the efficient administration of the scheme

- **National Social Security Board**

S. 114. Schemes for gig workers and platform workers.

(6) The National Social Security Board constituted under sub-section (1) of section 6 shall be the Board for the purposes of the welfare of gig workers and platform workers under the provisions of this Code:

Provided that while such Board serves the purposes of welfare of, or matters relating to, gig workers and platform workers, the following members shall constitute the Board instead of the members specified in clauses (c) and (d) of sub-section (2) of section 6, namely:—

- (a) five representatives of the aggregators as the Central Government may nominate;
- (b) five representatives of the gig workers and platform workers as the Central Government may nominate;
- (c) Director General of the Corporation;
- (d) Central Provident Fund Commissioner of the Central Board;
- (e) such expert members as the Central Government may consider appropriate;
- (f) five representatives of the State Governments by such rotation as the Central Government may consider appropriate;
- (g) Joint Secretary to the Government of India in the Ministry of Labour and Employment, who shall be the Member Secretary to the Board.

CHAPTER XII OFFENCES AND PENALTIES

S. 133	Penalty for failure to pay contributions, etc. Any person punishable as follows for any act under clause (a) to (q) - (i) where he commits an offence under clause (a), with imprisonment for a term which may extend to three years, but— - (a) which shall not be less than one year, in case of failure to pay the employee's contribution which has been deducted by him from the employee's wages and shall also be liable to fine of one lakh rupees; - (b) which shall not be less than two months but may be extended to six months, in any other case and shall also be liable to fine of fifty thousand rupees: - Provided that the court may, for any adequate and special reasons to be recorded in the judgment, impose a sentence of imprisonment for a lesser term; - (ii) where he commits an offence under clause (g), with imprisonment for a term which may extend to one year or with fine which may extend to fifty thousand rupees, or with both; - (iii) where he commits an offence under any of the clauses (d), (f), (i), (k), (l) or (o), with imprisonment for a term which may extend to six months or with a fine which may extend to fifty thousand rupees, or with both; - (iv) where he commits an offence under any of the clauses (b), (c), (e), (h), (j), (m), (n), (p) or (q), with fine which may extend to fifty thousand rupees.
S. 133	Clause (a) to (q) (a) being an employer, fails to pay any contribution which he is liable to pay under this Code or rules, regulations or schemes made thereunder; or (b) deducts or attempts to deduct from the wages of an employee, the whole or any part of employer's contribution; or (c) in contravention of the provisions of this Code, reduces the wages or any privilege or benefits admissible to an employee; or

	(d) in contravention of the provisions of Chapter IV or Chapter VI or rules, regulations or schemes made or framed under this Code respectively, relating to such Chapters, dismisses, discharges, reduces in rank or otherwise penalizes a woman employee; or (e) fails or refuses to submit any return, report, statement or any other information required under this Code or any rules, regulations or schemes made or framed thereunder; or (f) obstructs any Inspector-cum-Facilitator or other officer or staff of the Central Board or the Corporation or other Social Security Organization or a competent authority in the discharge of his duties; or (g) fails to pay any amount of gratuity to which an employee is entitled under this Code; or (h) fails to pay any amount of compensation to which an employee is entitled under this Code; or (i) fails to provide any maternity benefit to which a woman is entitled under this Code; or (j) fails to send to a competent authority a statement which he is required to send under Chapter VII; or (k) fails to produce on demand by the Inspector-cum-Facilitator any register or document in his custody kept in pursuance of this Code or the rules, regulations or schemes made or framed thereunder; or (l) fails to pay the cess for building workers which he is liable to pay under this Code; or (m) is guilty of any contravention of or non-compliance with any of the requirements of this Code or the rules or the regulations or schemes made or framed thereunder in respect of which no special penalty is provided in this Chapter; or (n) obstructs executive officer in exercising his functions under Chapter XIII; or (o) dishonestly makes a false return, report, statement or information to be submitted thereunder; or (p) fails or makes default in complying with any condition subject to which exemption under section 143 was granted; or (q) fails to pay any administrative or inspection charges payable under any of the schemes framed under Chapter III,
S.134	Enhanced punishment in certain cases after previous conviction - For second, or every subsequent such offence, be punishable with imprisonment for a term which may extend <u>to two years and with fine of two lakh rupees:</u>

	- Provided that where such second or subsequent offence is for failure by the employer to pay any contribution, charges, cess, maternity benefit, gratuity or compensation which under this Code he is liable to pay, he shall, for such second or subsequent offence, be punishable with imprisonment for a term which may extend to three years but which shall not be less than two years and shall also be liable to fine of three lakh rupees.
S. 135	Offences by companies - every person who, at the time the offence was committed, was directly in charge of, and was responsible to, the company for the conduct of the business of the company, as well as the company, - shall be deemed to be guilty of the offence and shall be liable to be proceeded against and punished accordingly: - Provided that nothing contained in this sub-section shall render any such person liable to any punishment, if he proves that the offence was committed without his knowledge or that he exercised all due diligence to prevent the commission of such offence. - Notwithstanding anything contained in sub-section (1), where an offence has been committed by a company and it is proved that the offence has been committed with the consent or connivance of, or is attributable to any neglect on the part of, any director, secretary or other officer of the company, such director, secretary or other officer shall also be deemed to be guilty of that offence and shall be liable to be proceeded against and punished accordingly
S.136.	Cognizance of offences - No court shall take cognizance of an offence punishable under this Code, except on a complaint made by an aggrieved person or such officer as may be notified by - the Central Government for the purposes of offences relating to Chapter III and Chapter IV and the rules, regulations or schemes made or framed under this Code relating to those Chapters, and for the purposes of offences relating to other provisions of this Code and the rules, regulations or schemes made or framed thereunder, by the officer notified by the appropriate Government
S. 137	Prior opportunity before prosecution
S. 138	Compounding of offences

	- any offence committed for the first time, punishable under this Chapter, being an offence— - (i) punishable with fine only; or - (ii) punishable with imprisonment for a term which is not more than one year and also with fine, - the appropriate Government, in such manner as may be prescribed by the Central Government on payment by the offender to the appropriate Government the amount— - (i) in the case of an offence punishable with fine only, the half of the maximum fine provided for that offence; and - (ii) in the case of an offence punishable with imprisonment for a term which is not more than one year and also with fine, the three-fourth of the maximum fine provided for that offence.
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- No court inferior to that of a Metropolitan Magistrate or a Judicial Magistrate of the first class shall try any offence punishable under this Chapter.
- The code intends to provide penalties, and the severity of the same will be based on the nature of the offence. For e.g. failure to pay employees' contributions attracts a fine of Rs 50,000 (in the first instance) and a prison term that could extend to six months.
- However, if the contributions have been deducted from employees' wages and not remitted, this is viewed more seriously. Here the fine is double the amount (Rs 100,000) coupled with minimum imprisonment period of one year and could range up to three years.
- The messaging clearly seems to be that the benefit to employees should not be compromised and acts as a deterrent to the employer from any non-compliance

- Aggregators, meaning “digital intermediaries or a market place for a buyers or users of a service to connect with the seller or the service provider”, are specifically required to contribute to the social security fund.
- The Code has widened coverage by including the unorganized sector, home based workers, self-employed workers, fixed term employees, gig workers, platform workers, inter-state migrant workers etc., in addition to contract employees.
- The Code on Social Security is clearly a move in the right direction to rationalize and consolidate social security related labour laws. It is critical for employers to analyse the impact of the Code and the compliances thereunder in order to be able to undertake a smooth transition as and when the Code becomes a law.